No. 18-0918

IN THE

SUPREME COURT OF THE UNITED STATES

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC., DEBTOR,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER

V.

MILTON WEINBERG, RESPONDENT.

On Writ of Certiorari to the
United States Court of Appeals for the Thirteenth Circuit

Brief for Petitioner

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Counsel for Petitioner

QUESTIONS PRESENTED

I. Whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date?

II. Whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code.

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OPINIONS BELOW

The United States Bankruptcy Court for the District of Moot found in favor of Respondent and held that Respondent's retention of snow plow trucks that he legally repossessed prior to the bankruptcy filing did not violate § 362(a)(3) and that Respondent was entitled to a substantial contribution administrative expense under § 503(b). (R. at 3.) The Bankruptcy Appellate Panel for the Thirteenth Circuit affirmed the Bankruptcy Court's decision. The Court of Appeals for the Thirteenth Circuit also affirmed both issues; the opinion is reproduced as the record in this appeal.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

11 U.S.C. § 362
(a) A petition filed under section 301, 302, or 303 of this title operates as a stay, applicable to all entities, of—
(1)-(2) [omitted]
(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate.
(4)-(8) [omitted]
(b)-(o) [omitted]

11 U.S.C. § 363
(a)-(d) [omitted]
(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).
(f)-(p) [omitted]

11 U.S.C. § 503
(a) [omitted]
(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 503(f) of this title, including—
(1)-(2) [omitted]

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

(A) the actual, necessary costs and expenses of preserving the estate including—

(B)-(C) [omitted]

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(E)-(F) [omitted]

(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

(5)-(9) [omitted]

(c) [omitted]

11 U.S.C. § 541

(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

(2)-(7) [omitted]

(b)-(f) [omitted]

11 U.S.C. § 542

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

(b)-(e) [omitted]

STATEMENT OF THE CASE

The Debtor, whom the Petitioner represents as Trustee, operated a seasonal snow plow business. (R. at 3.) To continue to operate successfully, the Debtor found that it would be necessary to purchase new snow plow trucks. (*Id.*) In the spring of 2015, the Debtor's sole shareholder, Christopher Clemons, approached the Respondent, Milton Weinberg, in hopes of acquiring a loan to assist in the purchase of the new snow plow trucks. (R. at 3-4.) The Respondent agreed to loan a total of $450,000 to the Debtor business in an agreement that included a security interest in the trucks to the Respondent. (R. at 4.) The purchase of the new trucks occurred shortly thereafter. (*Id.*)

In the fall of 2015, the Debtor was awarded a bid for a plowing contract with the City of Badlands. (*Id.*) That winter proved to be an unusually mild one in Badlands which provided great profit for the Debtor, as the contract was paid on a flat rate, whether it snowed or not. (R. at 5.) As agreed upon between Clemons and the Respondent, payments for the plow trucks were to begin that December (R. at 4); however, Clemons did not make the December nor the following few months' payments. (R. at 5.) This resulted in an argument between the Respondent and Clemons at the Debtor's facility in February 2016. (*Id.*) This was notably the second falling out that occurred between the two, as they had a separate argument in October 2015. (R. at 4.) Upon the failure of payments, the Respondent obtained a default judgment against both Clemons and the Debtor, jointly and severally, but did not take any immediate action to collect. (R. at 5.)

The Respondent did not attempt to collect on the judgment until January 2017, about four months after the initial judgment. (R. at 6.) Unfortunately, at this time however, the Debtor business was suffering from substantial business losses because of the brutal winter that Badlands faced that year. (R. at 5.) To make matters worse for the Debtor, the Respondent

proceeded with a repossession of the plow trucks that same month and moved them to a warehouse he owned, where they remain. (R. at 6.)

The Debtor filed a chapter 11 petition on February 4, 2017 after being unable to fulfill its plowing contract with the city. (*Id*.) Upon the filing of the petition and the Debtor's demand for the return of the plow trucks, the Respondent still refused to return them. (*Id*.) Several months later, after being informed that the plowing contract would not be renewed with the city, the Debtor voluntarily converted from a chapter 11 case to chapter 7. (R. at 7.) The Petitioner-Trustee was subsequently appointed to administer the Debtor's estate. (*Id*.) The plow trucks still remain in the Respondent's custody. (R. at 6.)

After conversion to chapter 7, the Respondent resumed efforts to collect against Clemons on the judgment regarding the loan. (R. at 7.) Shortly thereafter, the Respondent discovered transfers in the amount of $100,000 that were made to a bank account in the name of Clemons' daughter, Patti, from the Debtor. (*Id*.) Immediately upon this discovery, the Petitioner filed a complaint against Patti Clemons to avoid and recover the transfers under §§ 548 and 550. (*Id*.) After a settlement was reached, the Respondent attempted to seek allowance of a substantial contribution administrative expense, which he argued was pursuant to § 503(b). (*Id*.)

In the fall of 2017, the Petitioner received two separate offers for the purchase of the Debtor's assets. (R. at 8.) The first was from Tenth Avenue, who hoped to restart the operations of the Debtor; this contract, however, was contingent on the Trustee immediately obtaining possession of, and conveying title to, the snow plow trucks that were still in the Respondent's possession. (*Id*.) After continued unsuccessful negotiations between the Trustee and Respondent for possession of the plow trucks, Tenth Avenue withdrew its purchase. (*Id*.) Upon the failure of the proposed contract with Tenth Avenue, the Petitioner received a second offer from Stone

Pony, another contractor, which offered $100,000 less for the Debtor's assets, excluding the plow trucks. (*Id*.) Because the Petitioner still did not have possession of the trucks, he agreed to this sale. (*See* R. at 8-9.)

The Debtor filed a motion asking the bankruptcy court to determine that the Respondent's continued retention of the plow trucks constituted a violation of the automatic stay under § 362(a)(3). (R. at 6.) The bankruptcy court found that the stay was not violated, despite it being a "close call." (*Id*.) After the investigation regarding the finances of Patti Clemons, the Respondent filed a motion seeking allowance of a substantial contribution administrative expense pursuant to § 503(b). (R. at 7.) The bankruptcy court allowed him an administrative expense for the incurred legal fees. (*See* R. at 8.) The appellate panel and United States Court of Appeals for the Thirteenth Circuit affirmed on both issues. (R. at 3, 9). This appeal follows.

SUMMARY OF ARGUMENT

First, Respondent violated the automatic stay of § 362(a) when it exercised control over lawfully repossessed collateral following the pre-petition date. This section establishes who exercises control over property of the estate. Section 362(a)(3) operates as a stay regarding any act to obtain possession of the property or any act to exercise control over that property. *See* 11 U.S.C. § 362(a)(3). The Respondent was exercising control over the property of the estate when he retained the Debtor's snow plow trucks and failed to return them pursuant to the Debtor's petition for bankruptcy. This constitutes an act as subscribed by § 362(a)(3).

The broad design of the turnover powers gives bankruptcy courts the ability to enforce turnover under § 542(a) and sanctions under § 362. *United States v. Whiting Pools* establishes that § 541(a) vests a property right in the estate of the debtor under § 542(a). Section 542(a) is a self-executing statute that requires that the creditor turn over property to the estate of the debtor.

See 11 U.S.C. § 542(a). That decision on the scope of turnover powers was expanded upon in 1984 when Congress added the additional language "to exercise control" to the automatic stay section, § 362(a)(3). This in turn created a procedure by which the debtor can file for a willful violation of the automatic stay when the creditor withholds pre-petition seized collateral after the petition date. This statutory language and broadening of the turnover powers of the bankruptcy court serve to enhance the ability of the debtor to rehabilitate his debt and pay off his creditors.

Second, the Respondent should be precluded from receiving administrative expenses pursuant to § 503(b)(3)(D). Section 503(b)(3)(D) provides that a creditor, or certain other parties in interest, are allowed to claim an administrative expense when making a substantial contribution in a chapter 9 or 11 case. *See* 11 U.S.C. § 503(b)(3)(D). Based on the plain meaning of this statute, the language suggests that administrative expenses for making a substantial contribution are only applicable in chapters 9 and 11 cases, not chapter 7 cases. The majority of courts have followed this reading of § 503(b)(3)(D) and have agreed that chapter 7 cases are precluded from substantial contribution administrative expenses. An examination of legislative history and congressional intent also demonstrates that Congress purposely excluded chapter 7 from § 503(b)(3)(D). In addition, if chapter 7 was read as being a part of § 503(b)(3)(D), courts would no longer be able to place limitations on the administrative expenses and equity would be given a higher value than the written substance of the Bankruptcy Code.

Based on these interpretations of §§ 362(a) and 503(b)(3)(D), this Court should reverse the holding of the Court of Appeals for the Thirteenth Circuit.

ARGUMENT

The facts of this case are undisputed. (R. at 9.) This appeal only address questions of law, which are reviewed under a de novo standard of review. *Texas Soileau (In re Soileau)*, 488 F.3d 302, 305 (5th Cir. 2007) (citation omitted).

I. Section 362(a)(3) of the Bankruptcy Code was violated when Respondent retained possession of Petitioner's snow plow trucks that it repossessed prior to Petitioner's petition for bankruptcy.

A. Respondent acted affirmatively to exercise control over Petitioner's snow plow trucks when he refused to return the trucks to Petitioner pursuant to § 362(a)(3) of the Bankruptcy Code.

As in all statutory interpretation cases, a court begins with the statutory language. *United States v. Ron Pair Enters., Inc.*, 489 U.S. 235, 240-41 (1989). Section 11 U.S.C. 362(a)(3) states that ". . . a petition filed under section 301, 302, or 303 of this title . . . operates as a stay, applicable to all entities, of - any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." 11 U.S.C. § 362(a)(3). Holding onto an asset, refusing to return it, and otherwise prohibiting a debtor's beneficial use of an asset all fit within this definition [of "control"], as well as within the commonsense meaning of the word. *Thompson v. Gen. Motors Acceptance Corp.*, 566 F.3d 699, 702 (7th Cir. 2009). Therefore, the act of passively holding onto an asset constitutes "exercising control" over it and violates § 362(a)(3) of the Bankruptcy Code. *Id*. at 703.

The plain language of § 362(a)(3) incorporates two distinct acts to meet its requirement, separated by the word "or." Because Congress explicitly included the term "or" into the statute, it therefore separates "act" into two definitions, and either can apply. Both are not necessary. The first is an act "to obtain possession of property of the estate or of property from the estate." 11 U.S.C. § 362(a)(3). This connotation of "act," because of the common understanding of

"obtaining possession" as a verb, incorporates the common meaning to "take action" or "do something." *See WD Equipment, LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 949 (10th Cir. 2017). Reading this alone, as the Respondent does, stays entities from *doing* something to obtain possession of or to exercise control over the estate's property, and does not cover "the act of passively holding onto an asset." *Id*. One cannot look past, however, the second "act" that is placed after the "or." This act expresses "any act . . . to exercise control over property of the estate." 11 U.S.C. § 362(a)(3). Considering an "act" in this situation creates another understanding, one in which an entity does something to exercise control. "Exercising control" in this scenario is therefore the act. To go one step further, "control" means "to exercise restraining or directing influence over" or "to have power over." *Thompson*, 566 F.3d at 702.

Holding onto an asset, refusing to return it, and otherwise prohibiting a debtor's beneficial use of an asset all fit within this definition [of "control"], as well as within the commonsense meaning of the word. *Id*. *Thompson v. General Motors Acceptance Corporation* involved a creditor's repossession of a vehicle because the debtor defaulted on payments. *Id.* at 701. Upon filing for bankruptcy after the repossession of the vehicle, the debtor claimed that the creditor's refusal to return the vehicle to his bankruptcy estate was a willful violation of the automatic stay provision in 11 U.S.C. § 362(a)(3). *Id*. The creditor, on the other hand, argued that because it only passively held the asset and took no further action, such as selling the vehicle, it did not meet the Code's definition of "exercising control." *See Thompson*, 566 F.3d at 702. The Seventh Circuit Court of Appeals disagreed with the creditor, however, finding that its interpretation of "exercising control" was at odds with the phrase's plain meaning. *Thompson*, 566 F.3d at 702. Because of this, that court held that the act of passively holding onto an asset constitutes "exercising control" over it, and such action violates 11 U.S.C. § 362(a)(3). *Id*. at 703.

The facts of the case before this Court are similar to those of *Thompson*. In the present case, the Respondent lawfully repossessed the Petitioner's snow plow trucks. (R. at 6.) Shortly thereafter, the Petitioner filed a chapter 11 bankruptcy petition, after which he demanded the Respondent immediately return the trucks. (R. at 6.) The Respondent failed to return the trucks at the request of the Petitioner, which raised the same question presented in *Thompson*, which was whether continued retention of the vehicles constituted a violation of the automatic stay under § 362(a)(3). (R. at 6.) By applying the reasoning of the court in *Thompson*, this Court should also find a violation of § 362(a)(3). The Respondent, like the creditor in *Thompson*, held onto the asset, refused to return it, and otherwise prohibited the Petitioner's beneficial use of it. *Thompson*, 566 F.3d at 702. Because of this, the Respondent exercised control over the Petitioner's estate and therefore violated the automatic stay of § 362(a)(3) when he failed to return that property.

Section 362(a)(3) applies to all property of the estate or property from the estate. *See* 11 U.S.C. § 362(a)(3). There is no doubt in this case that the plow trucks at issue fall within that estate. Section 541(a) governs "property of the estate," explaining that the act of filing a petition for bankruptcy creates an estate comprised of "all legal or equitable interests of the debtor in property as of the commencement of the bankruptcy case." *Weber v. SEFCU*, 719 F.3d 72, 75 (2nd. Cir. 2013). Furthermore, to assemble the bankruptcy estate, § 542 requires that, during bankruptcy proceedings, an entity "in possession, custody, or control" of certain property in the estate "shall deliver" that property to the trustee, "unless such property is of inconsequential value or benefit to the estate." *Id*.

Petitioner's chapter 11 petition was an attempt to reorganize the business, which relied heavily on plowing contracts with the City of Badlands. The snow plow trucks were not only

property of the Petitioner but were vital to any chance of survival for the business. The effort to improve the state of the business was halted upon the Respondent's refusal to return the plow trucks needed to conduct its operations. While bankruptcy proceedings are pending, the automatic stay provisions of § 362 work with §§ 541 and 542 to shelter the debtor's estate from action by creditors, enabling the debtor to get the relief and fresh start that are among the goals of the bankruptcy regime. *Id*. at 76. The court in *Weber* observed not only the importance of certain property to the debtor estate but the protections that the Bankruptcy Code provided in such a situation. The debtor in *Weber* appealed to the court by requesting the return of a vehicle that was necessary to "continue his construction business" during the pendency of his bankruptcy petition. *Id*. at 74. As noted, §§ 541 and 542 work together in a situation like this to allow the debtor the relief and fresh start that are among the goals of the bankruptcy regime. *Id*. at 76. Section 542 specifically requires the return of property of the estate unless it is of "inconsequential value or benefit to the estate." *See* 11 U.S.C. § 542. Because of the nature of the Petitioner business, the snow plow trucks were of significant value and obvious benefit to the bankruptcy estate resulting in their required return under § 542. The Respondent failed to return the property, however, sinking the Petitioner business into an even more difficult situation, and resulting in a violation of § 362(a)(3).

The lack of a real chance at successful business reorganization is a concern this Court also addressed in *United States v. Whiting Pools*. In its opinion ordering the return of repossessed property to a debtor in bankruptcy, this Court noted, "the reorganization effort would have a small chance of success, however, if property essential to running the business were excluded from the estate. Thus, to facilitate the rehabilitation of the debtor's business, all the debtor's property must be included in the reorganization estate." *United States v. Whiting Pools*, 462 U.S.

198, 203 (1983). The Court acknowledged an inherent importance of the return of repossessed property to a debtor for the sake of business reorganization, as drafted by the Bankruptcy Code. It went on to say that, "any other interpretation of § 542(a) would deprive the bankruptcy estate of the assets and property essential to its rehabilitation effort and thereby would frustrate the congressional purpose behind the reorganization provisions." *Id.* at 208.

The Respondent will argue that there was no violation of § 362(a)(3) because he did not act to exercise control of the property. He will likely interpret that for there to be an act, as noted in the statute, that the entity needs to *do* something to obtain possession of or to exercise control, as it is interpreted in *WD Equipment, LLC. v. Cowen*; therefore, the statute does not cover "the act of passively holding onto an asset." *WD Equipment, LLC*, 849 F.3d at 949. The Respondent's interpretation of the term "act" as an attempt to evade responsibility under § 362(a)(3) does not hold much ground. When considering the language of the statute along with the purposes of a bankruptcy petition, it only makes common sense that preventing a debtor from utilizing his property is an act in itself. This has been recognized time and time again, such as in *Thompson*, in which the court held that holding onto an asset, refusing to return it, and otherwise prohibiting a debtor's beneficial use of it all fit within the definition. *Thompson*, 566 F.3d at 702. Furthermore, the deciding court in *Cowen* even admits that their interpretation of § 362(a)(3) is the minority view. *WD Equipment, LLC,* 849 F.3d at 948. The Petitioner's interpretation of the section, that the act of passively holding onto an asset constitutes "exercising control" over it, constitutes the majority rule, as acknowledged in *Cowen*. *Id.*

When the Petitioner filed a chapter 11 bankruptcy petition, it was with the full intention to reorganize the business and give it new life. One of the main necessities required for this was the

snow plow trucks which the Respondent refused to return. Because of this and the reasons above, the Respondent was exercising total control of the property and therefore violated § 362(a)(3).

B. To meet the primary purpose of reorganizational bankruptcy, the turnover power expressed in § 542(a) requires that valued property be returned to the debtor, including that which was repossessed pre-petition.

11 U.S.C. § 542(a) creates at the moment of petition a property interest in the estate for the debtor. *Whiting Pools*, 462 U.S. at 198. The Supreme Court's 1983 decision in *Whiting Pools* expresses the property interest created by § 542(a) in the estate of the debtor at the moment of petition. In *Whiting Pools*, the IRS lawfully seized the property of the corporation pursuant to its tax lien. The day after the seizure, the corporation filed for bankruptcy and sought turnover pursuant to 11 U.S.C. § 542(a). The Court held that § 541(a)(1) is intended to include in the estate any property made available to the estate by other provisions of the Bankruptcy Code. *Id*. at 204. It then expressly states that § 542(a) is one of those provisions. *Id*. at 205.

Section 542(a) is a provision that makes available property seized by the creditor. This Court wrote, "several of these provisions bring into the estate property in which the debtor did not have a possessory interest at the time the bankruptcy proceedings commenced. Section 542(a) is such a provision." *Id*. Since § 542(a) "requires an entity (other than a custodian) holding any property of the debtor that the trustee can use under § 363 to turn that property over to the trustee," it satisfies the language of § 541(a)(1). *See Whiting Pools*, 462 U.S. at 205. Therefore, the debtor obtains a property interest in the estate that he nor his estate had at the time of the bankruptcy petition. The estate, in accordance with § 541(a)(1), after petition, now includes a property interest in anything that fits under the § 542(a) turnover provision. Therefore, property interest includes prepetition property.

These statutes work together to form the turnover powers of the bankruptcy court. Section 541(a)(1) vests a property interest with the debtor's estate after the bankruptcy petition. Section 542(a) requires, through use of the term "shall," automatic turnover of the property. The use of the term "shall" by Congress in § 542(a) was not meant to be conditional. Section 362(a)(3)'s automatic stay allows the recovery for a willful violation of the automatic stay by the creditor. The broad design of the turnover provisions act as a procedure for the primary purpose of reorganizational bankruptcy.

The primary purpose of reorganizational bankruptcy is only met when these two statutes work in tandem with each other. A violation of the automatic stay for lawfully seized pre-petition assets under the language "to exercise control" safeguards the debtor's property interest vested by the Bankruptcy Code. It is the consequence that carries from § 542(a) that enforces the turnover order with contempt sanctions. Without the broad interpretation of the stay violation, a creditor could destroy the reorganizational chances of the bankrupt estate by procedurally withholding property under the guise of lack of adequate protection. "A reorganization effort would have a small chance of success. . . if property essential to running the business were excluded from the estate." *Whiting Pools*, 462 U.S. at 204.

It has been stated that "it seems unlikely that Congress would indirectly impose a self-effectuating turnover obligation via section 362(a)(3) that exceeds the scope of the section 542(a) turnover provision," however that is exactly what Congress did in 1984. Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is "Exercising Control" Over What?*, 33 BANKR. L. LETTER 9, 6 (Sept. 2013). The 1984 amendment to § 362(a)(3) which included the phrase, "to exercise control," is an enhancement and broadening of the already established equitable turnover rights of the debtor and bankruptcy court. After *Whiting Pools*, the

functional aspect of turnover rights, which secured the debtor's interests post-petition, were balanced with adequate protection of the collateral, or the creditor's rights. The additional language to § 362(a)(3), "to exercise control" by Congress in 1984, was plainly meant to expand and tip the scale in favor of the debtor. The 1984 amendment expressly clarifies the broadening aspect of § 362(a)(3) so that it reached property of the estate in the possession of others., as *Whiting Pools* further supports. *See generally Whiting Pools,* 462 U.S. 198. Congress intended to advance the aging pre-1984 practice whereby "a secured creditor may insist upon adequate protection as a condition precedent to the turnover of property since the property may not be used, sold, or leased under section 363 without it." *In re Young,* 193 B.R. 620, 626 (Bankr. D.D.C. 1996) (quoting *In re R. Purbeck & Assocs*., 12 B.R. 406, 408 (Bankr. D. Conn. 1981)). Congress expressly wanted to remove the required condition of property seized pre-petition. Withholding assets with which the debtor can use to rehabilitate its debt and benefit the estate is exercising control. "Withholding possession of property from a bankruptcy estate is the essence of 'exercising control' over possession." *TranSouth Fin. Corp. v. Sharon* (*In re Sharon)*, 234 B.R. 676, 682 (B.A.P. 6th Cir. 1999).

The amendment to § 362(a)(3) seeks to provide the debtor turnover, then adequate protection of the creditor's interest. In *Whiting Pools*, the Court said § 542(a) was a codification of turnover powers that had developed under "judicial precedent predating the Bankruptcy Code," and "nothing in the legislative history evinces a congressional intent to depart from that practice." *Whiting Pools*, 462 U.S at 208. The additional language of § 362(a)(3) indicates a change from that practice. The addition can only mean that a secured creditor cannot now withhold possession of pre-petition seized collateral. As the Sixth Circuit B.A.P. stated, "entitlement to adequate protection in the first instance… is triggered by a creditor's request to

the bankruptcy court, and if you don't ask for it, you won't get it." *In re Sharon*, 234 B.R. at 684. The Second Circuit agreed that § 542(a) is self-executing and vests the debtor with a possessory interest thus allowing for a successful willful violation sanction of the automatic stay under § 362(a)(3). In *Weber*, a pre-petition repossession of collateral turned into a post-petition stand-off between the creditor and debtor, who filed bankruptcy so he could continue to use his pickup truck, which he purchased with loans from the credit union. *Weber*, 719 F. 3d at 74. Weber filed an adversary proceeding with the court seeking turnover pursuant to § 542(a) and a willful violation of the automatic stay pursuant to § 362(a). *Id*.

The Second Circuit held for Weber and found a willful violation of the automatic stay. After the bankruptcy court's initial summary judgment for the creditor was reversed by the district court, the Second Circuit affirmed, holding that "by failing to deliver the repossessed vehicle to the debtor-in-possession promptly after receiving notice of the pending petition, SEFCU [the creditor] willfully violated § 362(a). *Id*. at 83. The Second Circuit in *Weber* noted that § 542(a) is "self-executing" and "requires that any entity in possession of property of the estate deliver it to the trustees, without condition or any further action." *Id*. at 79. The reasoning behind the court's decision is that the self-executing nature of § 542(a) operates to vest the debtor with a possessory interest in the property such that creditor's continued holding of possession constitutes an act to "exercise control" over property of the estate. *Id*.

The Eight Circuit agrees with this view. In *Knaus v. Concordia Lumber Co., Inc.*, a creditor lawfully seized lumber pre-petition and withheld turnover pursuant to § 542(a), arguing that § 542(a) did not vest any property right to the creditor at the moment of petition. *Knaus v. Concordia Lumber Co., Inc.*, 880 F. 2d 773, 774 (8th Cir. 1989). At the turnover proceeding, the creditor submitted and turned the lumber over to the debtor. *Id*. The bankruptcy court held that

the creditor violated the automatic stay provision of § 362 by not voluntarily returning the property after notice of the bankruptcy petition. *Id*. When the appeal reached the Eighth Circuit, it held that:

> The duty to turn over the property is not contingent upon any predicate violation of the stay, any order of the bankruptcy court, or any demand by the creditor. Rather, the duty arises upon the filing of the bankruptcy petition. The failure to fulfill this duty, regardless of whether the original seizure was lawful, constitutes a prohibited attempt to "exercise control over the property of the estate" in violation of the automatic stay.

Id. at 775. The court further explained about pre-petition and post-petition action that "we fail to see any distinction between a failure to return property taken before the stay and a failure to return property taken after the stay." *Id*.

The creditor's interest is not diminished through this broad design. In *Whiting Pools*, the Court noted that at "the secured creditor's insistence, the bankruptcy court must place such limits or conditions on the trustee's power to sell, use, or lease property as are necessary to protect the creditor." *Whiting Pools*, 462 U.S. at 204. The creditor's interests were not diminished by the Court's broadening of turnover powers with respect to § 542(a), it merely put the debtor's interests, as of bankruptcy petition, in line with that of creditors so that the purposes of reorganizational bankruptcy could be reached. This reasoning allows Whiting Pools Inc. to continue using their assets, rather than having them sit idle in the creditor's possession. As noted by the Seventh Circuit, "[a]n asset actively used by a debtor serves a greater purpose to both the debtor and his creditors than an asset sitting idle on a creditor's lot." *Thompson*, 566 F. 3d at 702.

Since § 542 requires a turnover of the debtor's property, which the Respondent failed to do, this Court should find Respondent in violation of § 362(a)(3).

II. Respondent is precluded from receiving an allowance of an administrative expense because § 503(b)(3)(D) does not allow for it in a chapter 7 bankruptcy case.

A. The language of § 503(b)(3)(D) explicitly omits administrative expenses for substantial contributions in a chapter 7 bankruptcy case.

In all statutory interpretation cases, a court begins with the statutory language. *United States v. Ron Pair Enters., Inc.*, 489 U.S. 235, 240-41 (1989). As this Court has noted, "[w]hen the statute's language is plain, the sole function of the courts - at least where the disposition required by the text is not absurd - is to enforce it according to its terms." *Lamie v. U.S. Trustee,* 540 U.S. 526, 534 (2004) (citation omitted).

Section 503(b)(3)(D) provides that a creditor, or certain other parties in interest, are allowed to claim an administrative expense "in making a substantial contribution in a case under chapter 9 or 11. . ." 11 U.S.C. § 503(b)(3)(D). Based on the language of this section, the plain meaning suggests that administrative expenses for making a substantial contribution are only applicable in chapters 9 and 11 cases, not chapter 7 cases. Thus, administrative expenses in chapter 7 cases are explicitly omitted under § 503(b)(3)(D). The majority of courts have adopted this plain meaning interpretation and held that § 503(b)(3)(D) bars courts from allowing administrative expenses for substantial contributions to be made in all chapter 7 cases. *See, e.g., In re Lloyd Sec., Inc.,* 75 F.3d 853, 857 (3d Cir. 1996), *In re Fesco Plastics Corp., Inc.,* 996 F.2d 152, 157 n.5 (7th Cir. 1993), *Goodman v. Phillip R. Curtis Enter., Inc.*, 809 F.2d 228, 231 n.4 (4th Cir. 1987).

When crafting the Bankruptcy Code, Congress was aware of how an administrative expense for substantial contributions should be addressed. As a result, Congress specifically chose to include chapters 9 and 11 for this purpose. Congress did not overlook chapter 7 by failing to include it in § 503(b)(3)(D), instead, Congress intended to exclude the administrative

expenses in chapter 7 cases. *In re Hackne*y, 351 B.R. 179, 201 (Bankr. N.D. Ala. 2006) (citation omitted). As this Court has stated before, Congress "says in a statute what it means and means in a statute what it says there." *Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A.*, 530 U.S. 1, 6 (2000). Therefore, there is no need "to engage in speculation" of what Congress meant by excluding chapter 7. *U.S. Trustee v. Farm Credit Bank of Omaha (In re Peterson)*, 152 B.R. 612, 614 (D.S.D. 1993). The exclusion of chapter 7 cases in § 503(b)(3)(D) may not be fair to creditors, but courts still have a duty to follow Congress's decision.

While there is little legislative history of § 503(b)(3)(D), the history that is applicable "indicates that Congress intended its scope to be limited." *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 821 (6th Cir. 2015) (O'Malley, J., dissenting). Previous versions of the Bankruptcy Act demonstrate Congress's intent to purposely include chapters 9 and 11 in § 503(b)(3)(D) but not include chapter 7. For example, Senate Bill 236 "provided that an administrative claim 'shall be allowed' for 'compensation for services, representing a substantial contribution' or an 'expense,' in chapter 9 and 11 proceedings," *Id*. at 821-22 (quoting S. 236, 94th Cong. § 4-403(a)(8), (9) (1975)). House Bill 6 also described "substantial contributions as administrative expenses in chapters 9 and 11, but not chapter 7." *Id*. at 822 (quoting H.R. 6, 95th Cong. (1977)). Subsequent bills in the House and Senate continued to view only chapters 9 and 11 as the applicable chapters for an administrative expense of substantial contributions. *See, e.g.*, H.R. 8200, 95th Cong. (1978); H.R. 7330, 95th Cong. (1977); S. 2266, 95th Cong. (1978) (amended); S. 2266, 95th Cong. (1977). Both the House and Senate reports and hearings are silent on § 503(b)(3)(D), but "Congressional silence often has little interpretive value." *In re Connolly*, 802 F.3d at 822 (O'Malley, J., dissenting) (quoting *Helvering v. Hallock*, 309 U.S. 106, 121 (1940)) ("[W]e walk on quicksand when we try to find in the absence of

corrective legislation a controlling legal principle"). The legislative history clearly suggests that Congress did not intend for §503(b)(3)(D) to apply to administrative expense for substantial contributions in chapter 7 cases.

Section 503(b) contains "a non-exhaustive list of nine administrative expenses that may be allowed." (R. at 29) (quoting 11. U.S.C. § 503(b)(1)-(9)). Congress also included some restrictions to § 503(b), such as the six restrictions that are located in the subsections to §503(b)(3). (R. at 29.) Section 503(b) uses the term "including" whereas § 503(b)(3) does not use that term. The omission of "including" in § 503(b)(3) suggests that the list of administrative expenses contained in that subsection is exhaustive. *Compare* 11 U.S.C. §503(b)(1)(A) with 11 U.S.C. § 503(b)(3). Since § 503(b)(3) excludes the term "including," the principle of "*expressio unius est exclusio alterius"* applies and the Court should read the more specific section, § 503(b)(3), as governing the more general section, § 503(b). (R. at 30); *see Morales v. Trans World Airlines, Inc.*, 504 U.S. 374, 384 (1992). While the Respondent's argument that the term "including" in § 503(b) can be read to "acknowledge that administrative expense other than the statutory examples are permissible" (R. at 18), it is unfounded. Whereas the prefatory language of § 503(b) contains the term "including," the language of § 503(b)(3) clearly does not. Thus, the exclusion of the term "including" limits the categories of an administrative expense for substantial contributions.

B. Allowing an administrative expense in a chapter 7 bankruptcy case does not follow established principles of equity in such case.

Bankruptcy courts are courts of equity. However, "the equitable nature of a bankruptcy proceeding does not untether a bankruptcy court from the strictures of the Bankruptcy Code itself." *In re Connolly*, 802 F.3d at 820 (O'Malley, J., dissenting). The equitable power "of a bankruptcy court 'can only be exercised within the confines' of the Bankruptcy Code." *Id.* at 820

(quoting *Law v. Siegel*, 134 S. Ct. 1188, 1194-95 (2014)). Here, equity does not afford the Respondent relief. Instead, Congress provides creditors with protection by obtaining an administrative expense for their troubles to recover fraudulently transferred property. (R. at 31.) To obtain the relief, creditors would need to first seek court approval. *See* 11 U.S.C. § 503(b)(3)(B); 11 U.S.C. § 503(b)(4).

In re Connolly certainly is a useful case for the Respondent in arguing that chapter 7 is applicable under § 503(b)(3)(D), however, this case is an outlier. (R. at 31.) The court in *Connolly* heavily relied on the principles of equity in deciding that a court is allowed to award a substantial contribution administrative expense in a chapter 7 case. (R. at 17-18) (citations omitted). While this logic could be compelling, only 14% of courts agreed with the *Connolly* majority at the time the case was decided. (R. at 31.) Whereas 86% of courts presented with a similar issue in *Connolly* held that a court must preclude an administrative expense in chapter 7 cases. (R. at 31.) This pronounced circuit split indicates that the majority of courts interpret § 503(b)(3)(D) as only applying to chapters 9 and 11 and *not* chapter 7.

Congress's intent in excluding chapter 7 in § 503(b)(3)(D) may be inequitable to creditors like the Respondent. However, "[t]hat Congress may not have foreseen the unusual circumstances at issue here does not give [courts] the freedom to rewrite the statute in order to take account of them and reach an 'equitable' solution." *In re Connolly*, 802 F.3d at 822 (O'Malley, J., dissenting). The plain meaning of § 503(b)(3)(D) should not be changed just because Congress did not foresee the need to include chapter 7 in this section. As § 503(b)(3)(D) is written, administrative expenses are subject to restrictions. If the interpretation of this section changes, courts would no longer be able to place limitations on the administrative expenses of

substantial contributions. Instead, equity would wrongfully trump the language and function of the Bankruptcy Code.

In order to maintain the foundation and intent of the Bankruptcy Code, there is only one outcome that will guarantee its protection. The Respondent should be precluded from receiving an allowance of an administrative expense under § 503(b)(3)(D).

CONCLUSION

For the reasons noted above, the Petitioner respectfully asks that this Court reverse the holding of the Court of Appeals for the Thirteenth Circuit.

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